THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) NO. 24/ALD/2023
(First Motion)

Under Section 230 to 232 Read with sections 66 and 52 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF ARRANGEMENT FOR DEMERGER OF:

JOVEES HERBAL CARE INDIA LIMITED
Having its Registered Office at:
A-63, Sector-64, Noida,
Gautam Buddha Nagar -201301,
Uttar Pradesh
DEMERGED COMPANY /APPLICANT COMPANY NO.1

JOVEES HERBAL CARE PRIVATE LIMITED
Having its Registered Office at:
A-63, Sector-64, Noida,
Gautam Buddha Nagar -201301,
Uttar Pradesh
RESULTING COMPANY NO.1 / APPLICANT COMPANY NO.2

JOVEES HERBAL PRIVATE LIMITED
Having its Registered Office:
A-63, Sector-64, Noida,
Gautam Buddha Nagar -201301,
Uttar Pradesh
RESULTING COMPANY NO.2 / APPLICANT COMPANY NO.3

Order delivered on: 5th October, 2023

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CORAM:

Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

Physically Present:-

For the Applicant Companies
: Sh. Ankit Kumar Singh, Practicing Company Secretary

ORDER

1. This is a joint first motion application filed by the applicant companies namely-**Jovees Herbal Care India Limited** ("Applicant Company No. 1" or "Demerged Company**"**), Jovees Herbal Care Private Limited ("Applicant Company No. 2" or "Resulting Company No. 1**"**) and , **Jovees Herbal Private Limited** ("Applicant Company No. 3" or "Resulting Company No. 2") under 230 to 232 read with sections 66 and 52 of the companies act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Arrangement for Demerger of Demerged Undertaking 1 i.e. manufacturing and trading skincare products & Demerged Undertaking 2 i.e. online e-commerce trading of

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the skincare and beauty products of Jovees Herbal Care India Limited into Jovees Herbal Care Private Limited- Resulting Company No 1 and Jovees Herbal Private Limited- Resulting Company No. 2 respectively**.** The said Scheme is attached as **Annexure-5** of the Application.

2. The Applicant Companies have prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders of the Demerged Company and the Resulting Companies No. 1 & 2 and the Unsecured Creditors of the Resulting Company No. 2. There is No Secured Creditors in the Applicant Resulting Company No. 2. Further, the Demerged Company and the Resulting Company No. 1 have prayed for convening separate meetings of Secured Creditors and Un-secured Creditors (excluding statutory and other dues payable) of the Demerged Company and the Resulting Company No. 1.

3. The Applicant Company No.1 is presently engaged in the business of manufacturing and trading skincare products and online e-commerce trading of the skincare and beauty products and other related activities..

4. The Applicant Company No.2 is presently engaged in the business of manufacturing and trading skincare products and other related activities.

5. The Applicant Company No.3 is presently engaged in the business of online e-commerce trading of the skincare and beauty products and other related activities.

6. It is submitted that the registered offices of all the applicant companies are situated in the State of Uttar Pradesh. Hence, the jurisdiction of applicant companies lie with this Hon'ble Bench.

7. The rationale of the Scheme is given below.

   (a) The Demerged Undertaking 1 and Demerged Undertaking 2 and the business of the Resulting Company 1 and Resulting Company 2 have significant complementarities and the consolidation of the businesses carried on by them is strategic in nature and will generate significant business synergies thereby enhancing stakeholders' value;

(b) Consolidation of the business of manufacturing and trading skincare productsand other related activities currently undertaken by the Demerged Company with the business of the Resulting Company 1 and Consolidation of the business of online e-commerce trading of the skincare and beauty products and other related activities currently undertaken by the Demerged Company with the business of the Resulting Company 2;

(c) Achieve greater economies of scale, operational rationalization and organizational efficiency, wider market reach and customer base, pooling of knowledge and expertise, and to reduce redundant costs;

(d) Aid in future growth by leveraging on the strength and capabilities of the combined business;

(e) Aim towards creation of a single unified entity with a wider and stronger capital and asset base, having greater capacity for conducting its operations more efficiently and competitively;

(f) Help the group bifurcate the non-core business from the core business;

(g) Allow the Demerged Company to focus on the Remaining Business and grow these businesses independently;

(h) Simplification of group holding structure

8. It is stated that the Board of Directors of the Applicant Companies in their respective meetings held on 12.08.2023 have considered and unanimously approved the proposed Scheme of Arrangement for Demerger subject to sanctioning of the same by this Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Companies are all annexed with the Application as **Annexure No.1/4/Vol.1; Annexure No.2/4/Vol.2; and Annexure No.3/4/Vol.2** respectively, with the application.

9. The appointed date of the Scheme is 01.04.2023 as mentioned in the Para. 5 (c) in Part II under definition of the Scheme of Arrangement for Demerger which is annexed as **Annexure No.A-5** with the application.

10. It is stated that all the Applicant Companies have filed their Audited Financial Statements as on 31.03.2023 and the same are annexed together as Annexure No.1/2, Annexure No.2/2 and Annexure No.3/2 respectively, with the Application.

11. It has been stated that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant Companies have filed Certificates dated 18.09.2023 of Applicant No.1, Applicant No.2 and Applicant No.3 which are issued by their respective Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Act and the same are annexed as Annexure No.6 with Application.

12. It is has been further stated that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Arrangement for Demerger has been issued by M/s Sundae Capital Advisors Private Limited, Registered Valuer,IBBI Regn. No.: IBBI/RV-E/03/2021/136 through its Director, Nitin Somani, IBBI/RV/03/2020/13127, Registered Valuerin respect of Securities or Financial Assets

with the Insolvency and Bankruptcy Board of India (IBBI) and the same is annexed as **Annexure No.4** with the Application. The following Fair Exchange Ratio has been proposed in the aforesaid Report.

> "15 (fifteen) Equity Shares of Rs 10/-each fully paid up of Jovees Herbal Care Private Limited for every 10 (ten) Equity Shares of Rs. 10/- each fully paid-up of Jovees Herbal Care India Limited."
>
> "1 (one) Equity Shares of Rs 10/-each fully paid up of Jovees Herbal Private Limited for every 10 (ten) Equity Shares of Rs. 10/- each fully paid-up of Jovees Herbal Care India Limited."

13. It is stated that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Paragraph 8.2.8 of Part IV and paragraph 14.2.8 of the Part V of the Scheme (**Annexure – 5)** of this application.

14. It is submitted by the Ld. Counsel during the course of hearing that the Scheme of Arrangement for Demerger will not attract the provisions of the Competition Act, 2002.

Hence, no intimation to / approval from the Competition Commission of India (CCI) is required for the present Scheme of Arrangement for Demerger.

15. It is also submitted and deposed that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against any of the Applicant Companies. Further it is also submitted that no winding up application has been filed against any of the Applicant Companies and there are no liquidation proceedings against any of the Applicant Companies and none of the Applicant Companies are facing any CIRP process nor any of Applicant Companies have been struck off from Registrar of Companies.

16. The applicant companies have furnished the following documents: -

a) Audited Financial Statement as on 31.03.2023 of the Applicant Companies (**Annexure No.1/2, Annexure No.2/2 and Annexure No.3/2** respectively, with the Application.).

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b) List of Equity of applicant companies along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (**Annexure No.1/5, Annexure No.2/5 and Annexure No.3/5** respectively, with the Application.).

c) List of Secured Creditors of the applicant companies duly certified by the Chartered Accountant (**Annexure No.1/6, Annexure No.2/6 and Annexure No.3/6** respectively, with the Application.).

d) List of Unsecured Creditors of the applicant companies duly certified by the Chartered Accountant (**Annexure No.1/7, Annexure No.2/7 and Annexure No.3/7** respectively, with the Application.).

e) Certified true copy of extract of the minutes of the board resolution of the applicant companies approving the Scheme. (**Annexure No.1/4, Annexure No.2/4 and Annexure No.3/4** respectively, with the Application.).

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f) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of equity share (**Annexure No.4** with the Application.).

g) Proposed Scheme of Arrangement for Demerger (**Annexure No.5** with the Application.).

h) Certificates of Statutory Auditors to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (**Annexure No.6** with the Application.).

17. That the Applicant Companies have furnished the details of the Equity Shareholders, Secured Creditors and Unsecured Creditors along with their consent affidavits, as the case may be, as per the following detail:

Company	**No. of Share Holders**	**Consent Given**	**No. of Secured Creditors**	**Consent Given**	**No. of Un-secured Creditors**	**Consent Given**
Demerged Company	**7**	***7 100%***	**1**	*Meeting*	**116**	*Meeting*
Resulting Company No. 1	**8**	***8 100%***	**1**	*Meeting*	**135**	*Meeting*
Resulting Company No. 2	**7**	***7 100%***	**Nil**	*N. A.*	**2**	***2 100%***

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18. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Demerged Company/Applicant Company No.1:

a) The meeting of the Equity Shareholders of Demerged Company /Applicant Company No. 1 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) The meeting of the Secured Creditors of the Applicant Company no.1/ Demerged Company be convened as prayed for on Saturday, 25th November, 2023 at 12:00 P.M. at A-63, Sector-64, Noida, Gautam Buddha Nagar-2013010, Uttar Pradesh.

c) The meeting of the Unsecured Creditors of the Applicant Company no.1/ Demerged Company be convened as prayed for on Saturday, 25th November, 2023 at 2:30 P.M. at A-63, Sector-64, Noida, Gautam Buddha Nagar-2013010, Uttar Pradesh.

The quorum for the meetings shall be as per the following:

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Meetings of	**Quorum**	
	No.	% of total value
Secured Creditors-Jovees Herbal Care India Limited	1	100%
Un-secured Creditors - Jovees Herbal Care India Limited	20	15%

Valid proxies will be counted for the purpose of quorum.

ii. In relation to the Resulting Company No 1/Applicant CompanyNo.2:

(a) The meeting of the Equity Shareholders of Resulting Company No. 1/ Applicant Company No. 2 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

(b) The meeting of the Secured Creditors of the Applicant Company no.2 be convened as prayed for on Saturday, 25th November, 2023 at 1:00 P.M. at A-63, Sector-64, Noida, Gautam Buddha Nagar-2013010, Uttar Pradesh

(c) The meeting of the Unsecured Creditors of the Applicant Company no.2 be convened as prayed for on

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Saturday, 25th November, 2023 at 3:30 P.M. at A-63, Sector-64, Noida, Gautam Buddha Nagar-2013010, Uttar Pradesh

The quorum for the meetings shall be as per the following:

Meetings of	**Quorum**	
	No.	% of total value
Secured Creditors-Jovees Herbal Care India Limited	1	100%
Un-secured Creditors - Jovees Herbal Care India Limited	20	15%

Valid proxies will be counted for the purpose of quorum.

iii. In relation to the Resulting Company No.2/Applicant Company No.3:

(a) The meeting of the Equity Shareholders of Resulting Company No.2/ Applicant Company No.3 is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

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(b) Since, there are no Secured Creditors in the Resulting Company No 2/ Applicant Company No.3, the requirement of convening the meeting Secured Creditors does not arise.

(c) The meeting of the Unsecured Creditors of the Resulting Company No.2/Applicant Company No.3 is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

iv. Further, if the Quorum is not present in the meetings, the meetings may be adjourned for 30 minutes and the person(s) present in the meetings may be treated the proper quorum.

v. Mr. Udai Chandani, Mobile No.9935844111, email id: udaichandani@gmail.com and Mr. Srijan Mehrotra, Mobile No. 9453011427, email id: srijanmehrotra@gmail.com, are appointed as the Chairperson and Co-Chairperson for the meetings to be called under this order. An amount of ₹ 2,00,000/- (Rupees 2 Lakhs only) and ₹1,25,000/- (Rupees One Lakh Twenty Five thousand only) be paid respectively for their services as the Chairperson and Co-Chairperson.

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The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting(s) or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to the Scheme of Amalgamation, if any, proposed by any persons.

vi. Ms. Tanu Agarwal, Mobile No. 9839778060, email id:tanuagarwalcs@rediffmail.com, is appointed as the Scrutinizer for the above meetings to be called under this order. An amount of ₹ 1,00,000/- (Rupees One Lakh only) be paid for her services as the Scrutinizer.

vii. Apart from the above remuneration, the Applicant Transferee Company / Resulting Company shall make necessary and proper arrangements for travel / transport, stay and other allied expenses for Chairman, Co-chairman and Scrutinizer.

viii. Dispatch of individual notices of the meetings by Speed Post/courier or through e-mail. Notice of meeting as

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published in the newspapers will be deemed to be the notice to all these Un-secured Creditors. It is further directed that along with the notices, the Applicant Companies shall also send, statements explaining the effect of the Scheme on the creditors, shareholders, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the Scheme of Arrangement on any material interests of the Directors of the Applicant Companies provided under sub-section (3) of Section 230 of the Act.

ix. It is further directed that the provisional Accounting Statement of the Applicant Companies be also circulated along with the Notice of the aforesaid meetings in terms of Section 232(2)(e) of the Companies Act, 2013.

x. That the Applicant Companies shall publish an advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date and place and the time of the meeting as aforesaid, to be published in "Business Standard, English (Delhi/NCR Edition) and Business Standard, Hindi (Delhi/NCR Edition) Newspapers." It shall be stated in the advertisement that the copies of "Scheme", the Explanatory Statement required to be

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furnished can be obtained free of charge at the registered office of the Applicant Companies pursuant to Section 230 to 232 of the Act. The Applicant Companies shall also host the notice on the website, if any.

xi. It shall be the responsibility of the Applicant Companies to ensure that the notices are sent under the signature and supervision of the authorized representative of the Applicant Companies on the basis of Board resolutions and that they shall file their affidavits in the Tribunal at least seven days before the date fixed for the meetings.

xii. At the venue of the meetings held physically, voting shall be conducted physically through poll by polling paper and the Secured Creditors and Unsecured Creditors present in person or by proxy shall be entitled to vote thereat. Subject to the directions and matters dealt with herein, the procedure for voting by polling paper and conduct of voting at the meeting shall be in so far as the same is prescribed by the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014, Secretarial Standards on General Meetings and the forms prescribed thereunder shall be followed with such variations as may be required in the

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circumstances and in relation to the resolution for approval of the Scheme of Arrangement.

xiii. The Scrutinizer's report will contain his/her findings on the compliance to the directions given in Para V to X above.

xiv. The Chairperson shall be responsible to report the result of the meetings to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 15 (Fifteen) days of the conclusion of the meeting. The Chairperson would be fully assisted by the Authorized representative / Director of the Applicant Companies and the Scrutinizer in preparing and finalizing the reports.

xv. The Applicant Companies shall individually and in compliance of sub-section (5) of Section 230 of the Act and Rule 8 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Income Tax

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Department and (iv)) Official Liquidator, Allahabad having jurisdiction over the Applicant Companies by mentioning the PAN number of the Applicant Companies; and to such other Sectoral Regulator(s) governing the business of the Applicant Companies, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the Applicant Companies, failing which it shall be presumed that they have no objection to the proposed Scheme.

xvi. The Applicant Companies shall furnish a copy of the Scheme free of charge within one day of any requisition for the Scheme made by any creditor or shareholder entitled to attend the meeting as aforesaid.

xvii. The Authorized Representative of the Applicant Companies shall furnish an Affidavit of Service of Notice of Meeting and publication of advertisement and compliance of all directions contained herein at least seven days before the date fixed for the meetings.

xviii. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including

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forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Companies

19. The Second Motion petition shall be filed within 7 days from the date of submission of report by Chairperson in accordance with the provisions of rule 16 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

20. With the aforesaid directions, this First Motion Application stands disposed of. A copy of this order be supplied to the learned counsel for the Applicant Companies who in turn shall supply a copy of the same to the Chairperson and the Scrutinizer immediately.

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(Ashish Verma)
Member (Technical)

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(Praveen Gupta)
Member (Judicial)

Aditi Kharbanda
(LRA)